



PAGERO

Country Compliance Report: Kenya

Information class: Restricted



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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency, and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.



1. Terminology

This section outlines general and country-specific terminology for Kenya, which will be used throughout the whole document.

Term	Explanation
CU	Control Unit. The Control Unit was developed by an accredited Manufacturer and should be connected to the supplier's systems in order to submit the invoice data to TIMS
ETR	Electronic Tax Register. ETR is a cash register with fiscal memory that keeps all transactions between traders and buyers for the purpose of tracking VAT.
Fiscalization	The invoice data must be cleared with the mandatory infrastructure prior to creation of the tax invoice and exchange between the trading partners.
iTAX	is the general platform of the KRA which should be used by the Kenyan taxpayers for their communication with the KRA, i.e. applying for PIN, filing returns, etc.
KRA	Kenya Revenue Authority. KRA is an agency of the Government of Kenya that is responsible for the assessment, collection and accounting of all revenues that are due to the government in accordance with the laws of Kenya.
Manufacturer	is the producer of the CU, which has been accredited by the KRA, to distribute their CU to the taxpayers. Manufacturer may only be a Kenya registered taxpayer.
KES	Kenyan Shilling. The shilling is the currency of Kenya.
PIN	Personal Identification Number. PIN is used while doing business with KRA, other government agencies and service providers. Both individuals and business can have PIN.
Register	means an electronic tax invoicing or receipting system that is maintained and used in accordance with VAT Regulations.

TIMS	Tax Invoice Management System. TIMS is developed by KRA in order to communicate the invoice data received from the supplier to the iTax.
eTIMS	is an upgrade of TIMS offering a software solution providing technological convenience to meet taxpayers' compliance needs.
VAR	Value Add Retailer. VAR is the name used for the taxpayer for confirming their registration with iTAX for using the TIMS system.



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Kenya, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Kenya Revenue Authority (KRA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• VAT Act of 2013, revised in 2021 • Value Added Tax (Electronic Tax Invoice) Regulations, 2020 • Tax Procedures Act of 2015, revised in 2022 • Revised Electronic Tax Register Specifications • Legal Notice 54 of 2017 • Taxpayer Education: Implementation of the Electronic Tax Invoice



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered (i) whether an e-invoice is equal to a paper invoice from the legal perspective, and (ii) whether there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	Allowed
Varying invoicing regimes ¹	No
e-Invoicing model	Fiscalization
e-Invoice definition ²	The electronic tax invoice refers to an invoice generated from a compliant ETR that has the ability to check the correctness of the invoice data generated at the time of making a sale through a process called validation.
Scope of taxpayers the e-document mandate applies to	- Only VAT registered taxpayers. Exemption: Registered non-resident suppliers of digital services.
Mandatory AoR (document response) process	No explicit requirements
Implementation / roll-out plan	- The period of transition to mandatory electronic tax invoicing through TIMS ended on 30 November 2022. - The II phase of transition to mandatory e-invoicing started in March 2023 and is implemented through eTIMS. - All VAT-registered taxpayers must accept e-invoices through eTIMS as of 1 June 2023.

¹ It is possible that a business is required to send e-invoice in some scenarios and send voluntarily in others.

² Differing definitions may exist between different levels of government, or differing legislation, i.e., accounting law and IT law.



4. Before switching to e-invoices

4.1. IT³ registration

The following thresholds apply to the requirement to be registered for an IT number in Kenya:

VAT registration is mandatory for businesses with annual turnover exceeding 5 million KES (c.a. 36.000 EUR) with respect to all taxable supplies. Businesses that do not attain this turnover threshold are subject to [turnover tax](#) at a rate of 1% of their turnover. After reaching this threshold, they must register for VAT.

Within 30 days after becoming or expecting to become a taxable person, the business is required to apply to the Commissioner of Domestic Taxes to become registered.

Businesses with a turnover of less than the required registration threshold can voluntarily apply for the VAT registration.

Non-established businesses. A “non-established business” is a business that does not have a fixed establishment in Kenya. A foreign business that meets the registration requirements in Kenya and does not have a fixed place of business in the country is required to appoint a tax representative. A permanent establishment of a foreign business must register for VAT if it makes taxable supplies of goods or services.

Non-resident businesses.⁴ A non-resident business can either have a permanent establishment in Kenya or no fiscal presence. In the case that an entity has no fiscal presence in the jurisdiction, they are taxed via the withholding tax system established in Kenya.

Tax representatives. A person who is required to apply for VAT registration, but who does not have a fixed establishment in Kenya is required to appoint a tax representative.

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁴ Definition provided based on language used in law stating that non-resident businesses supplying digital services are exempt from scope of taxpayers required to adhere to VAT regulations regarding tax invoices. Digital (or electronic) services are those services provided or delivered via a telecommunications network. These include websites, web hosting or remote maintenance of programs and equipment, software and the updating of software, images, text and information, access to databases, self-education packages, music, films, and games, including games of chance, political, cultural, artistic, sporting, scientific and other broadcasts, and events, including broadcast television.

The requirements to the tax representative are the following:

- Resident of Kenya.
- Responsible for doing all things required of the non-resident.
- Jointly and severally liable together with the non-resident for the payment of all taxes, fines, penalties and interest imposed.

PIN is a Personal Identification Number used while doing business with Kenya Revenue Authority, other Government agencies and service providers. Both individuals and business can have PIN. A sole trader will use the proprietor's individual PIN for all transactions. No separate VAT number is issued in Kenya, instead PIN is used.

PIN format: P000111111A

4.2. Withholding tax (WHT)

WHT is tax withheld at source. A person making certain payments deducts tax, at the applicable rate, and remits the tax to the Commissioner on behalf of the recipient.

Examples of payments subject to withholding tax include, among others: *Management, professional or training fees; Consultancy fees, Legal fees, Audit fees; Contractual fees; Winnings; Appearance at or performance to entertain; Royalties; Interest and deemed interest; Dividends.*

The percentage deducted varies between incomes and is dependent on whether you are a resident or non-resident.

More information about the payments and WHT rates for residents and non-residents can be found [here](#).

4.3. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• All VAT registered taxpayers, except for registered non-resident suppliers of digital services, are required to use a compliant ETR with the functionalities prescribed in the Guidelines and to record their transactions from the approved ETR Suppliers. • For the CU Manufacturer every manufacturer must register with TIMS and nominate the Supplier, who will be using the specific CU.

	The Suppliers must then confirm this by nominating themselves as Value Added Retailers (VAR).
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	No explicit requirements
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	No explicit requirements

4.4. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	Allowed
Whether statement of outsourced issuance is required on the invoice	No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	No explicit requirements, but strongly recommended
Content and formality requirements to the outsourcing agreement between the taxpayer and the third-party	No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	No explicit requirements
Whether and which requirements exist to the outsourced party to be able to act on behalf of the taxpayer	No explicit requirements

4.5. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Kenya has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• No explicit requirements
Other document format(s) commonly used for exchange between trading parties	• Paper or PDF invoice with QR code.
Mandated platform(s) required to have connection with for e-document processing	• eTIMS as of 1 June 2023
Other platform(s) relevant for e-document processing	• No explicit requirements
Schematron(s), XSD schema or other official mechanisms ensuring document content	• No explicit requirements
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party	• No explicit requirements
Identification and document exchange	• No explicit requirements
Other technical aspects	• No explicit requirements

5.2. Communication with KRA

Regulations in Kenya foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	- Implementation through eTIMS: - Application facilitating the integration with businesses to use the existing billing system.
Manual	- web portal: PDF invoice with QR Code must be attached to be considered as tax invoice. - Implementation through eTIMS: - Online portal. - Mobile application.
Other options	N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

In Kenya, the taxpayer must clear the invoice data with CU and TIMS prior to issuance of the tax invoice. Once a positive response has been received from the CU, the supplier may generate the tax invoice, which must include a QR code. Consequently, a valid tax invoice in Kenya must be issued in PDF format or as a paper invoice, or in another format that supports QR code visualisation.

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country.

No specific requirements.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices.

No specific requirements.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

In Kenya, there are no explicit requirements on how invoice must be received, nor there are any requirements to validate the invoice with CU or TIMS.

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country.

No specific requirements.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices.

No specific requirements.

5.5. AoR (response) process

Kenya has no explicit requirements on the buyer to provide to the supplier confirmation and/or notification that an e-invoice has been received.

5.6. KRA validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before or shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi-approval, etc.

No specific requirements.

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

To distinguish duplicate invoices from originals, the word “copy” must be used.

A registered person shall issue only one original tax invoice for a taxable supply, or one original credit note, or debit note, but a “copy” clearly marked as such may be provided to a registered person who claims to have lost the original.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains whether and how trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

Push communication	• No explicit requirements
Pull communication	• No explicit requirements
E-mail distribution	• Not prohibited, but e-invoice exchanged in this way will not have fiscal validity
Webportal⁵	• Allowed
Scanning inbound invoices	• No explicit requirements • Not prohibited, however, such document will not have fiscal validity.
Scanning outbound invoicing	• No explicit requirements • Not prohibited, however, such document will not have fiscal validity.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note • A credit note may be issued: (a) only within six months after the issue of the relevant tax invoice; or (b) where there is a commercial dispute in court regarding the price payable, within thirty days after the determination of the matter.
What are the options to correct an invoice if the customer returns the goods	• Credit note • A credit note may be issued: (a) only within six months after the issue of the relevant tax invoice; or (b) where there is a commercial dispute in court regarding the price payable, within thirty days after the determination of the matter.

⁵ Note, however, that prior to using an external portal, like Pagero's Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

What are the options to correct an invoice if the customer paid too much	In case that the customer paid too much erroneously, the overpayment must be paid back to the customer and no invoice correction is necessary. Otherwise, the supplier must correct the invoice with a credit note.
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	Credit note
Other scenarios with different correction option	Where a registered person has issued a tax invoice in respect of a taxable supply and subsequently makes a further charge in respect of that supply, or any transaction associated with that supply, the person shall, in respect of the further charge being made, issue a debit note, and shall show on it the details of the tax invoice issued at the time of the original supply.
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	N.a

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	- No specific requirements - Recommended to be avoided
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	- Allowed - The original paper invoice must be archived according to the retention requirements.
Whether any conditions apply, and which, to the dematerialisation	N.a
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	- Allowed - The original paper invoice must be archived according to the retention requirements.

Whether any conditions apply, and which, to the materialisation	• N.a
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5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

No explicit requirements.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice • Credit note / debit note
Documents mandatory for issuance by buyer	• N.a

Item	Commentary
Self-billing allowed	• Yes
Simplified invoice allowed	• Not allowed

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

The invoice must have a unique invoice number, and the word “Invoice” should appear at the top or header of the invoice.

In case you are sending a credit note, the number of the invoice that will be credited must be indicated. You should only send one credit note per invoice.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• N.a

Worldwide numbering on legal entity level allowed provided that gaps can be explained	• N.a
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• N.a

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g., provided in addition by the tax authority or that must be generated by the taxpayer based on specifications.

PIN Number

A [PIN](#) is a Personal Identification Number. It is a unique digit used to identify persons, while interacting or transacting business with Kenya Revenue Authority, other Government agencies and service providers.

Uses of the KRA PIN

Companies & Partnership can authorise Tax Agents to use their PIN only for tax affairs.

The list of transactions for which a PIN is required can be accessed [here](#).

6.3. Indirect tax (IT)⁶ rates

This section illustrates the applied IT⁷ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
16%	Standard	All other taxable goods and services.
8%	Special	Petroleum oils obtained from bituminous, Motor Spirits (Diesel Supero, Aviation spirit etc.)
0%	Zero-rated	Goods and services included in the Second Schedule to the VAT Act, e.g., Exportation of goods, Goods and taxable services supplied to export-processing zones, international transportation of passengers, Inputs or raw materials (either produced locally or imported) supplied to pharmaceutical manufacturers in Kenya for manufacturing medicaments, Goods and services supplied to special economic zones, Agricultural pest control products, The supply of maize (corn) flour, cassava flour, wheat or meslin flour and maize flour containing cassava flour by more than ten percent in weight, etc. <u>Supplies to:</u> - The Commonwealth and other governments, - Diplomats or first arrivals persons,

⁶ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁷ Local name value added tax

		- Donor agencies with bilateral or multilateral agreements, - International and regional organisations, - The War Graves Commission, - National Red Cross Society and St. John Ambulance, - Protective apparel, clothing accessories and equipment.
	Exempt	Goods and services included in the First Schedule to the VAT Act, e.g., Examples of exempt goods: Unprocessed agricultural products, Airplanes and other aircraft, Direction-finding compasses, Taxable goods for direct and exclusive use for the construction of tourism facilities of 50 acres or more, Garments and leather footwear manufactured in an export processing zone at the point of importation. Examples of exempt services: Financial services, Insurance, Medical services, Agricultural and horticultural services and animal husbandry, Transportation of passengers (excluding transportation for hire), Taxable services for direct and exclusive use for the construction of tourism facilities of 50 acres or more, Entry fees into national parks and national reserves, the services of tour operators excluding in-house supplies.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Kenya. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Invoices must be issued in English or Kiswahili
Sequential numbering	• Yes
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• Not explicitly required

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• Yes, provided the full legal name is mentioned as well
Full address of the supplier in country of establishment	• Yes
Allowed to mention the PO box address instead of the legal address of the supplier	• N.a

IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	No explicit requirements
IT identification number of the supplier in the country of establishment	- Yes - If the supplier has a PIN, it must be stated.
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	No explicit requirements
Legal form of the supplier	- No explicit requirements - The recommendation to capture ETR/ESD number has been removed due to the introduction of TIMS process.
Trade register number of the supplier	No explicit requirements, but recommended
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	No explicit requirements
Place of legal seat of the supplier (Headquarters)	No explicit requirements
Other supplier data	N.a

Customer data	
Full legal name of the customer	Yes
Allowed to abbreviate or shorten the legal name of the customer	N.a
Address of the customer in country of establishment	Yes
Bill-to address when it is different from the registered address of the customer	No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	N.a
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	- Yes - If the customer has a PIN, it can be stated.
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	No explicit requirements
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	N.a
Information (i.e. name, address, IT identification number) of the fiscal	N.a

representative (if customer has appointed a fiscal representative)	
Other customer data	N.a.

Transaction data	
Date of issue	- Yes - Both date and time in the time zone of Kenya: YYYY-MM-DDTHH:MM:SS
Date of supply (chargeable event)	Mandatory if different from the tax invoice issue date.
Date of prepayment	No
Description of the goods/services	Yes, for each line of goods and services
Quantity of the goods supplied or the extent of the services supplied	Yes, for each line of goods and services
Purchase order number	Yes
Shipped from location (for the supply of goods)	Physical business address should be on the invoice.
Shipped to location (for the supply of goods)	No explicit requirements
Status of the goods (e.g. in bond, in free circulation)	No explicit requirements
Incoterms	No explicit requirements
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	N.a.

Financial data	
Taxable base per item (unit price excl. IT)	Yes
Total taxable base per IT rate or exemption	Yes
IT rate applied	Yes
Total IT amount calculated per rate	Yes
Total IT amount payable	Yes
Discounts/rebates if not included in the unit price	Yes
Total gross amount (including IT)	Yes
Mandatory to mention the total IT amount due in the national currency	- All record must be kept in Kenya Shillings (KES). - The unit of currency in respect of a non-resident person carrying on business through a digital marketplace shall be in convertible foreign currency as may be approved by the Commissioner.

	When a record is not in an official language, the Commissioner may, by notice in writing, require the person required to keep the record to provide, at the person's expense, a translation into an official language by a translator approved by the Commissioner by the date specified in the notice.
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	None
Exchange rate (if the invoice is not issued in the local currency)	N.a
Which exchange rate must be applied in order of priority	N.a
Terms of payment	- No, but recommended. - Payment method (e.g., Cash, Debit Card, Credit Card, Pre-paid Card, Mobile Money, EFT [Electronic Funds Transfer], RTGS [Real Time Gross Settlement], Credit) must be stated.
IBAN and BIC number of supplier	N.a

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	Reverse charge – A registered person who is liable to pay reverse charge VAT in full or in part is required to prepare a tax invoice for the taxable value of the imported services. The invoice shall include the general requirements of a normal tax invoice other than the PIN of the supplier. In addition, it will include a description of the extent to which the imported service has been applied other than to make taxable supply.
List of the required references in case of exemption or reverse charge	N.a
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - “reverse charge” for supplies subject to a reverse charge mechanism; - “supply is taxable in the country of the recipient” for B2B supplies of services; - “exempt intra-Community supply – article 138 VAT Directive”; - “Exempt export – article 146 VAT Directive”; - “simplification for triangular sales – article 141 VAT Directive – “	N.a

Transfer of own goods- article 17 VAT Directive”?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• N.a
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N.a
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• N.a
Specific references required in case invoicing is outsourced	• N.a
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• N.a
Other specific requirements/references to be mentioned on an invoice	• Certain rules and technical requirements applying to an invoice can be accessed via the Electronic Tax Register Specifications and the Implementation of the Electronic Tax Invoice presented by KRA.

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	No
Maximum amount for simplified invoices	N.a
Other supplies for which a simplified invoice can be issued	N.a
Simplified invoices limited to certain type of supplies	N.a
Simplified invoices not allowed for certain transactions	N.a
Minimum content requirements on a simplified invoice	N.a
Invoices subject to the national invoice requirements (not self-bills)	N.a
(other) Invoices subject to the national invoice requirements (not self-bills)	N.a

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Kenya, Credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	Yes
Reference to original invoice required on a credit note	- Yes - Invoice number should be indicated.
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	- Yes - A registered person who issues a credit note under this section shall reduce the amount of his output tax in the tax period in which the credit note was issued by an amount that bears the same proportion to the tax originally charged as the amount credited bears to the total amount originally charged and the amount of tax so credited shall be specified on the credit note.

	A registered person who receives a credit note for the supply in respect of which he has claimed deductible input tax, shall reduce the amount of deductible input tax in the month in which the credit note is received, by the amount of tax credited.
Reason for credit required	- Yes - An issued credit or debit note shall be in the prescribed form.
Other	- Where a user of a Register issues a credit note or debit note, the credit note or debit note shall indicate the PIN and invoice number to which the supply relates. - According to the current TIMS technical specifications, credit and debit notes should follow the same content requirements as a complete invoice with some differences, i.e., name of the Category of invoice and reference to the original tax invoice they refer to.

Sequential numbering	
Separate sequential credit note numbering required	Yes
Allowed to issue one credit note to correct different invoices	No

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

No explicit requirements in Kenya.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier’s and the Recipient’s perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• No explicit requirements	• No explicit requirements
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• Advanced Electronic Signature (AES)⁸

⁸ AES is supported by an AES certificate issued by a certification service provider (CSP). The certificate supports an AES and confirms the identity or other significant characteristics of the person who holds a particular key pair; identifies the certification provider issuing it; names or identifies the person to whom it was issued; contains the public key of the person to whom it is issued and is signed by a responsible officer of the CSP issuing it.

Automated e-signing	• N.a
Timestamping of e-signature	• N.a

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements • VAT registered taxpayers may access an independent tax register connected to the invoicing system to validate and transmit tax invoices to KRA. This includes the upgraded Electronic Signature Device (ESD).
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the e-invoicing process and documents handled by Pagero. Please note that additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Tax invoices and simplified tax invoices issued in serial number order with I&A proof as relevant. • Credit and debit notes issued, in chronological order.
Requirements to present stored documents in a specific audit format	• No requirements for capabilities to transform to audit format
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• No explicit requirements
Legibility requirements	• It is strongly recommended that if the original e-invoice is in machine-readable format; the taxable person must offer means to provide human-readability
Retention period for e-invoices not related to immovable property ⁹	• VAT Act: 5 years • Companies Act: 7 years • Our archive solution applies the general retention period only; other retention periods are for information. If there are different retention periods according to e.g., commercial law and tax law, we will apply the longer as the general retention period).
Start point of retention period calculation for invoices not related to immovable property	• From the end of the taxable period to which they relate
Retention period for e- invoices related to immovable property	• VAT Act: 5 years • Companies Act: 7 years

⁹ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

	Our archive solution applies the general retention period only; other retention periods are for information. If there are different retention periods according to e.g., commercial law and tax law, we will apply the longer as the general retention period).
Start point of retention period calculation for invoices related to immovable property	From the end of the taxable period to which they relate
Retention period for other than regular invoices or invoices related to immovable property (if existing):	N.a
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	N.a
Outsourced archiving	Allowed
Archiving abroad¹⁰ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	Based on a strict interpretation of the law, all tax records should be kept in Kenya. However, in practice, taxpayers keep their tax records (whether soft or hard copies) at locations they can easily access. The key point is that all tax records should be easily accessible for provision to the Kenya Revenue Authority (KRA) as and when requested.
Other requirements in relation to electronic document retention	- Every person required under the laws to keep records shall, at all reasonable times, avail the records to an authorised officer for inspection and shall give the officer every facility necessary to inspect the records. - The Commissioner may, in accordance with the regulations, require any person to use an electronic tax register, of such type and description as may be prescribed, for the purpose of accessing information regarding any matter or transaction which may affect the tax liability of the person.

¹⁰ In certain situations, or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, see section 6.6 above
Transportation documents	• No explicit requirements
Other	• N.a.



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public procurement

N.a

10.2. Indirect tax reports

From 1 August 2015, the tax authority does not accept manual VAT returns. All returns must be filed electronically via the Kenya Revenue Authority (KRA) iTax portal.

10.3. Phase 1: interaction with TIMS

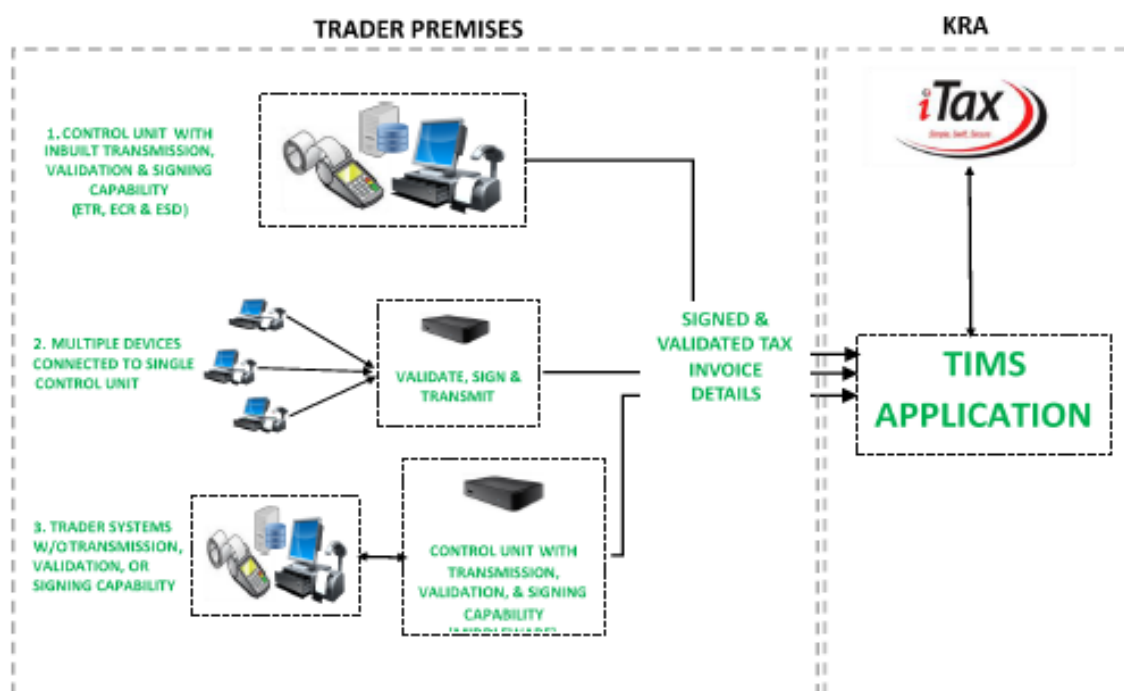
The Tax Invoice Management System (TIMS) is an upgrade of the previous Electronic Tax Register (ETR) regime that was rolled out in 2005. It facilitated electronic tax invoice management through standardization, validation, and transmission of invoices to KRA on a real time or near real time basis.

TIMS integrates trader systems (Electronic Tax Registers, Point of Sale, ERP, or invoicing software) with iTax to monitor the generation of tax invoice data. This is accomplished by use of a Control Unit (CU) connected or integrated to existing systems of the taxpayers. CU performs the functions of invoices data validation, encryption, signing, transmission to TIMS and storage. The communication between the CU and the TIMS at KRA is implemented over the Internet. However, the connection between the CU and the taxpayer's system does not have to be over the Internet, as it can either be integrated into the taxpayer's system(s) or attached to it.

All VAT-registered taxpayers are required to comply with the provisions of the [VAT \(Electronic Tax Invoice\) Regulations](#) from 30 November 2022.

Taxpayers obtain a compliant tax register from an approved supplier. The approved ETR supplier assists the taxpayer with ETR activation and authentication by the [KRA](#). Once these procedures are done, VAT-registered persons will be able to send tax invoice details to the KRA.

The list of the currently approved service providers is accessible [here](#).



10.4. Interaction with CU

The Control Unit (CU) is a piece of hardware produced by Manufacturers accredited by the KRA, that all businesses have to install on their electronic tax register (ETR) or point-of-sale device (PoS), or otherwise integrate with their ERP or billing system.

The CU validates and signs the invoice data before transmitting the information to the TIMS according to the supplier's schedule. Besides the invoice data, the supplier is obliged to submit credit and debit note data to CU.

The supplier can select the frequency for submitting invoice data to TIMS based on time and number of invoices to be reported. When it comes to the periodicity of submitting invoices this may not be more frequently than every 60 minutes nor later than the end of day, as CU must create end-of-day report (EOD Summary) before midnight.

Once CU validates and approves the submitted data, it will return to the issuer approval notification and a QR code to generate the tax invoice. Only the invoice generated by the taxpayer including the QR code constitutes the VAT valid tax invoice, which should be exchanged between the trading partners.

The CU archives the data submitted to and received from TIMS for a minimum of 5 years and will constitute legal archive for the data and notifications exchanged with TIMS. However, the supplier will still have to separately archive the tax invoices sent to the buyer.

More information about the CU, requirements and technical specifications can be found in the [Revised Electronic Tax Register Specifications: CU Requirements & Communication Protocols](#).

10.5. Impact on the buyers

One of the key features of a valid Electronic Tax Invoice is the Buyer PIN, which refers to the PIN of the purchaser. The capture of the buyer's PIN is optional when generating an invoice and is only applicable where the purchaser intends to claim input tax for the VAT paid.

It is the responsibility of the buyer to provide their PIN details to be captured in the invoice where they intend to claim input tax.

It is our strong recommendation for the buyers to adjust their processes and systems to the new invoice content requirements to ensure that they are receiving and handling correctly issued invoices.

10.6. Phase 2: interaction with eTIMS

The [electronic Tax Invoice Management System](#) (eTIMS) is an upgrade of the TIMS offering a software solution.

The upgraded software version will be reflected via:

- Online portal
- Mobile application
- Application facilitating the integration with businesses to use the existing billing system.

Who should use eTIMS?

- VAT registered taxpayers who are yet to be onboarded and are facing challenges integrating with TIMS ETR devices.
- Taxpayers dealing in bulk invoicing and facing capacity/performance issues with invoice transmission.
- VAT registered taxpayers facing challenges integrating with TIMS ETR devices.

Mandatory e-invoice roll-out via eTIMS

All VAT-registered taxpayers [have to](#) accept only electronic tax invoices from registered taxpayers through eTIMS starting from 1 June 2023.

Aiming to claim input tax and process refunds, the roll-out should comply with the [VAT \(Electronic Tax Invoice\) Regulations 2020](#).

Registered non-resident suppliers of digital services are exempt from this requirement, whilst they are required to issue invoices or receipts showing the value of the supply and tax charged.

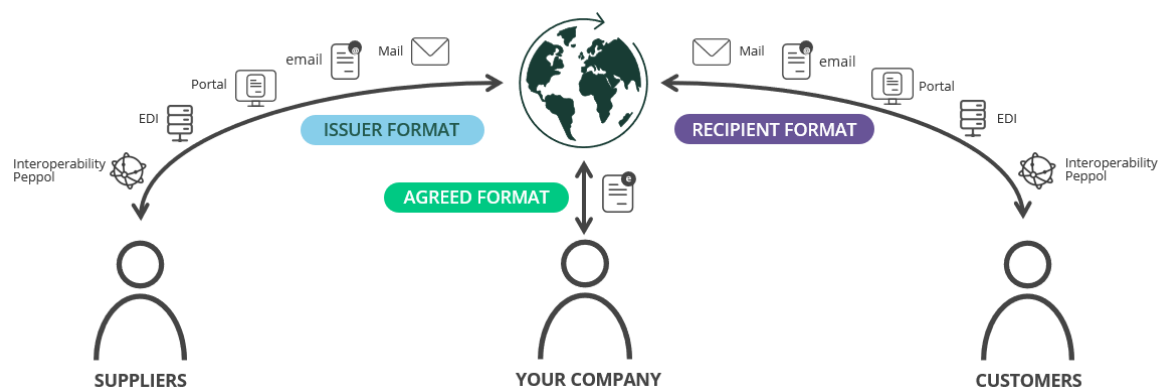
VAT-registered taxpayers not complying with the Regulation and the requirements under this statement will be affected by the following:

- Tax Compliance Certificate will not be issued;
- VAT refunds will not be processed and paid.

11. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document reception (AP) with Pagero



- 1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- 2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
- 3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- 4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
2019-08-21	• Document created
2021-09-22	• Changed to the new template. • New flowchart with latest design.
2023-06-29	• General overview and update.

Appendix 1 – Invoice examples

Invoice example 1:

Trade Name/Logo		
Address, City		
Welcome to our Shop		

PIN: 000000000		
Buyer PIN: 000000000		

FISCAL RECEIPT		

Mosquito Repellent		
1000.00x	1.00	1000.00B-EX
Vacuum Flask		
560.00x	12.00	6720.00A
Discount -25%		5040.00
Canned Soda		
60.00x	5.00	300.00A
TOTAL		6340.00
TAXABLE AMT A		4,603.45
TAXABLE AMT B		0.00
TOTAL A-16.00%		5340.00
TOTAL B-EX		1000.00
TOTAL TAX A		736.55
TOTAL TAX		736.55
CASH		6340.00
ITEMS NUMBER		3

Control Unit Info		
Date: 25/5/2012	Time: 11:07:35	
CU Serial No:	KRAMW582201907007181	
CU Invoice Number:	58207181000000003	
		

RECEIPT NUMBER:	152	
DATE: 25/5/2012	TIME: 11:09:32	

THANK YOU		
COME BACK AGAIN		
YOUR BEST STORE IN TOWN		

TAXPAYER'S NAME AND/OR LOGO

Shop address

Commercial message by Trader

Taxpayer (Trader) PIN

Buyer/Customer PIN (Optional)

Invoice Label (Either FISCAL RECEIPT or CREDIT NOTE or DEBIT NOTE)

Item description, unit price, quantity, total price and tax designation

Discount percentage & total price after discount

Total Amount to be paid

Total amount with TAX per tax rate

Total TAX exempted amount

Total amount of TAX per tax rate

Total amount of TAX

Payment method

Number of items sold

Date and time originated from Control Unit

Control Unit Serial Number

Invoice number originated from Control Unit

QR Code

Receipt number originated from trader's system

Date and time originated from trader's system

Commercial message by trader

Invoice example 2:

SAMPLE TAX INVOICE

DISTRIBUTORS LTD 1-00100 NRB KENYA 072 P1		
- START OF FISCAL RECEIPT -		
Tan ID:	01-0000-B0AF	
Trans no:	51466	
Date:	17-12-2020:120348	
Transaction By:	STAFF 1	
Customer Card:		
Customer PIN:		
Payment By:	CASH	
Reference:		
1. Pelikan Stamp Pad without ink A KES100.00 x 1 100.00		
2. Centrum Film Index notes A KES200.00 x 1 200.00		
-----PAYMENT DETAILS-----		
SUB Incl. TAX :	348.00	
VAT16% @16% :	48.00	
ZERO RATED @0% :	0.00	
VAT8% @8% :	0.00	
EXEMPTED @0% :	0.00	
Rounding Adjustment	0.00	
Amount Due	348.00	
Cash	500.00	
Total Paid:	500.00	
Change	152.00	
***** Device Id : 01-0000-B0AF Receipt No : 0000000057 *****		
VATGrp	VARIABLE AMT	VAT AMT
A = 16%	300.00	48.00
B = 0%	0.00	0.00
E = 8%	0.00	0.00
F = 0%	0.00	0.00
- CONTROL UNIT INFO -		
CU Serial No:	KRAH	6
CU Invoice No:		7
		
- END OF FISCAL RECEIPT -		
REAL-TIME ETR SOLUTION		

A: Buyer PIN

B: Control Unit Serial No.

C: Control Unit Invoice No.

D: QR Code

These are sample tax invoices highlighting the key features as provided for in the VAT (Electronic Tax Invoice) Regulations. The format and layout of the tax invoice is at the discretion of the VAT registered taxpayer.